



The Case for Jamaica

A Caribbean Investment Analysis

Curated by: Dameon Creary

THE QUESTION

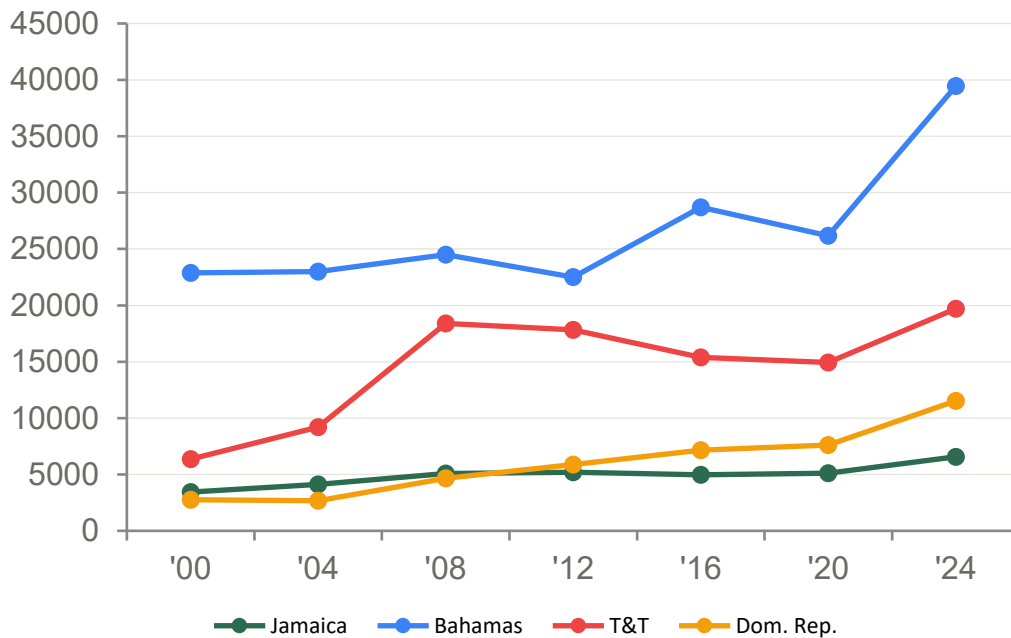
Which Caribbean economy offers the best risk-adjusted outlook for investment?

- 01** **Compare**
Nine Caribbean economies on GDP, debt, FDI, and inflation
- 02** **Focus**
Jamaica's fiscal turnaround — debt-to-GDP from 140% to ~65%
- 03** **Model**
What drives growth and what predicts contraction risk

Target Audience: Prospective investors evaluating Caribbean opportunities

CARIBBEAN LANDSCAPE

GDP Per Capita Trends (2000–Present)



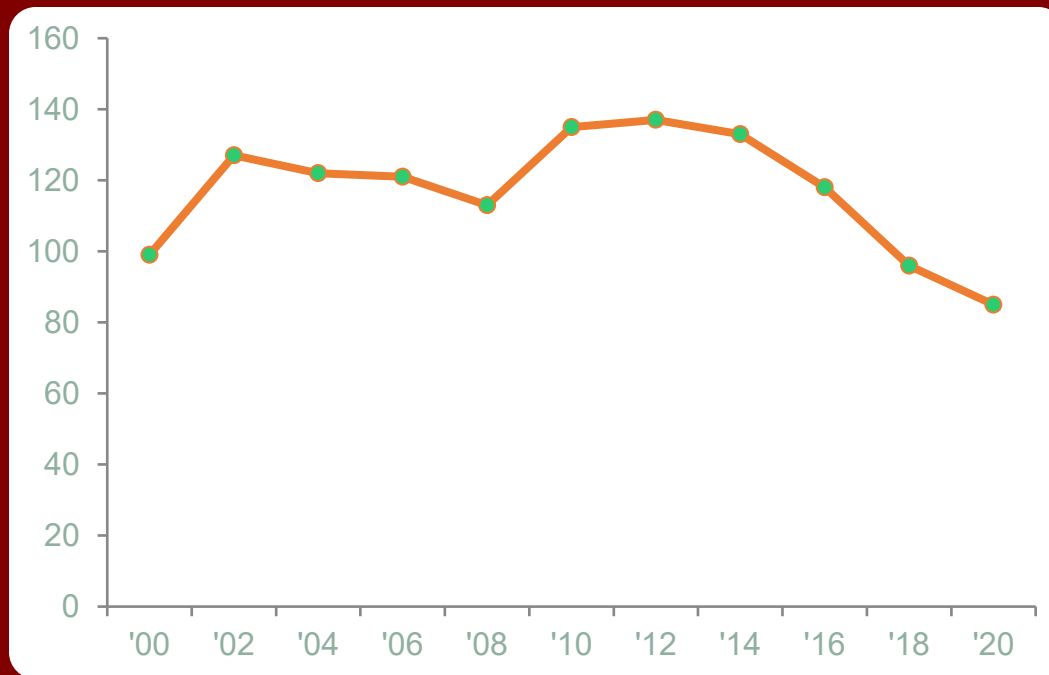
Growth Volatility

Best to worst spread (pp)

Grenada	29.9
Jamaica	29.9
Belize	32.4
Bahamas	38.2
T&T	59.6
Guyana	191.4

THE FISCAL TURNAROUND

Jamaica's Debt-to-GDP: From Crisis to Control



PEAK DEBT

~140%

of GDP (2012)

CURRENT

~65%

of GDP (2025)

CATALYST

IMF

Program (2013)

GROWTH & STABILITY

Jamaica vs Caribbean Average by Decade

	Caribbean Avg Growth	Jamaica Growth	Caribbean Avg Inflation	Jamaica Inflation
2000s	7.2%	3.0%	6.7%	11.0%
2010s	3.0%	3.2%	3.5%	6.3%
2020s	9.0%	5.7%	6.5%	6.7%

- Growth gap closing: Jamaica matched the Caribbean average in the 2010s
- Inflation halved: from 11% (2000s) to 6.7% (2020s), converging with regional average
- 2020s Caribbean average inflated by Guyana's oil boom — Jamaica likely at/above average excluding Guyana

MODELING

What Drives Caribbean Growth?

Linear Regression

Predicting GDP Growth (%)

FDI (% GDP)	+0.35
Inflation (lag)	+0.34
GDP Growth (lag)	+0.03
Post-IMF Reform	-2.56

$R^2 = -0.01$ | $RMSE = 17.1$

Logistic Regression

Classifying Contraction Years

Predicted →

	Expansion	Contraction
Actual Expansion	12	19
Actual Contraction	5	5

Accuracy = 41% | Detects 50% of contractions

Insight: Macro indicators alone can't fully predict GDP — country-specific factors (oil, tourism, remittances) dominate

THE INVESTMENT CASE

Why Jamaica?

01

Fiscal Discipline

Debt-to-GDP from ~140% to ~65%.
One of the best EM consolidations
in the last decade.

02

Growth Stability

2nd lowest GDP volatility in the
Caribbean. More predictable
returns for investors.

03

Macro Stabilization

Inflation halved from 11% to ~6%.
Central bank credibility restored
through IMF-backed reform.

RISKS TO MONITOR

FDI inflows declining (6.1% → 1.8% of GDP) • GDP per capita still below Caribbean average • Sustained reform needed